EXECUTIVE SUMMARY

I. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo" along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making, supplying particularly the whole province.

Iguig is a fourth-class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well-known tourist destination where every Iguigueños can live peacefully and prosperously.

II. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2025.

The objective of the audit is to determine whether the resources of the Municipality have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the Municipality.

III. Financial Highlights

The highlights of the financial condition and results of operation of the Municipality of Iguig, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/(Decrease)
Assets	₱ 690,055,674.82	₱ 658,325,899.15	₱ 31,729,775.67
Liabilities	207,953,838.88	218,633,760.58	(10,679,921.70)
Government Equity	482,101,835.94	439,692,138.57	42,409,697.37
Income	203,676,880.29	178,201,695.25	25,475,185.04
Expenses	160,451,708.27	172,259,855.06	(11,808,146.79)
Net Income	43,225,172.02	5,941,840.19	37,283,331.83

IV. Operational Highlights

The Municipality of Iguig, Cagayan is headed by the Municipal Mayor, Honorable Juditas L. Trinidad, and ably supported by the Vice Mayor and Presiding

Officer of the Sangguniang Bayan, Honorable Ferdinand B. Trinidad, and various officers and employees, as follows:

Particulars	No. of Personnel Complement
Permanent Employees	120
Elected	12
Coterminous	1

Programs, Projects and Activities (PPAs) completed in CY 2025

For CY 2025, the Municipality has substantially implemented 62 out of the 84 or 73.81 percent of the planned PPAs under the 20% Development Fund (DF).

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipality of Iguig, Cagayan as of December 31, 2025 due to the misstatements aggregating to ₱166,634,054.36 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Iguig, Cagayan disclosed misstatements totaling to ₱166,634,054.36, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality of ₱3,209,034.17, summarized as follows:

Account	Assets	Liabilities	Revenue/ Expense	Total
Property, Plant and Equipment (PPE)	₱ 137,003,889.55			₱ 137,003,889.55
Cash in Bank - LCCA	19,173,503.88			19,173,503.88
Other Maintenance and Operating Expenses (OMOE)			9,521,812.93	9,521,812.93
Trust Liabilities -DRRM (Current)		934,848.00		934,848.00
Total:	**₱ 156,177,393.43**	**₱ 934,848.00**	**₱ 9,521,812.93**	**₱ 166,634,054.36**

As a result, the following accounts in the financial statements of the Municipality of Iguig, Cagayan were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Property, Plant and Equipment (PPE)		₱ 137,003,889.55	1
Cash in Bank - LCCA		19,173,503.88	2
Other Maintenance and Operating Expenses (OMOE)	9,521,812.93		3

Account	Understatement	Overstatement	Observation No.
Other General Services		9,100,500.00	
Office Supplies Expense		72,341.00	
Honoraria		66,000.00	
Other Supplies & Material Expenses		1,035.00	
Representation Expense		10,000.00	
Printing & Publication		9,600.00	
Repairs & Maintenance - Transportation Equipment		47,193.00	
Repairs & Maintenance - Machinery & Equipment		50,643.33	
Repairs & Maintenance - Buildings & Other Structures		2,500.00	
Donations		162,000.00	
Trust Liabilities - DRRM (Current)	934,848.00		4
Total	**₱10,456,660.93**	**₱165,699,206.36**	

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2025, other than the bases for the modified opinion, that need immediate attention and action by the Municipality of Iguig, Cagayan, are as follows:

1. **The Municipality utilized ₱28.223 million or 81.67 percent of the total available 20% Development Fund appropriations of ₱34.558 million in CY 2025, which is in accordance with DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020. However, eight (8) approved Programs, Projects, and Activities totaling ₱2.650 million remained unimplemented as of year-end, indicating that full utilization of available funds has yet to be achieved and may affect the attainment of the Municipality's intended socio-economic development and environmental outcomes, in accordance with DILG–DBM JMC No. 2017-1 dated February 22, 2017.**

   We commended the Management for its efficient and effective planning that led to timely implementation of the majority of PPAs, equivalent to 81.67 percent of the total 20% DF for CY 2025.

   Moreover, we recommended that the Management ensure that all PPAs included in the approved Annual Investment Program are procurement and implementation-ready, consistent with the requirements of DBM–DOF–DILG JMC No. 1 dated November 4, 2020, to maximize project utilization and ensure the timely and effective attainment of the Municipality's socio-economic development and environmental objectives.

2. **Inter-Agency Payables comprising of Due to National Government Agencies, Due to Government Owned and/or Controlled Corporations, and Due to Local Government Units accounts totaling P30.95 million, as at December 31, 2025, remain unsupported by detailed schedules and ledgers, contrary to Section 111 of Presidential Decree No. 1445, COA Circular No. 94-013 dated December 13, 1994 and Paragraph 25 of International Public Sector Accounting Standards 1, adversely affecting the fair presentation of the said accounts in the financial statements.**

   We recommended that the Management direct the Municipal Accounting Office to maintain complete, up-to-date, and reconciled schedules and ledgers for the Due to NGAs, Due to LGUs, and Due to GOCCs accounts, including breakdowns by source agency, nature of transaction, and supporting references, while exerting extra effort to gather sufficient information from available records for prior year balances, to ensure the accuracy, reliability, and auditability of transactions in accordance with Section 111 of PD No. 1445, COA Circular No. 94-013 dated December 13, 1994, and Paragraph 25 of IPSAS 1.

3. **Expenditures totaling to ₱7,833,888.11 for the wages of Job Order/Contract of Service personnel were paid without clear and written Policy Implementing Guidelines on the number of hiring or engaging the services of Job Order/Contract of Service personnel, contrary to Section 2, Presidential Decree No. 1445, which maybe unfavorable to the government.**

   We recommended that the Management formulate Internal Policy Guidelines for the evaluation and determination of the desired number of JO/COS personnel. The policy guidelines in hiring said personnel shall not, in any way, restrict the manpower requirements needed by the Municipality in the delivery of vital services, and that will promote optimum utilization of financial resources and avoid waste of government funds.

   Moreover, we recommended that the Management review and rationalize the wages of JO/COS personnel, taking into consideration prevailing wage rates, including the regional minimum wage under Wage Order No. RTWPB-II-24 in Region II , as reference in determining reasonable and equitable compensation, to ensure that wages are fair, updated, and commensurate with the nature and level of services rendered, and to promote the prudent use of public funds.

VII. Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2025:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	13,967,784.43		13,967,784.43	-	100.00%
Current Year	-	-	-	-	
Total	**13,967,784.43**	-	**13,967,784.43**	**-**	**100.00%**
Disallowances					
Prior Years	3,236,525.00	11,817,784.40	-	15,054,309.40	0.00%
Current Year	-	-	-	-	
Total	**3,236,525.00**	**11,817,784.40**	-	**15,054,309.40**	**0.00%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2024 Annual Audit Report are summarized as follows:

Implemented	10
Not Implemented	7
Not Implemented and Reiterated in CY 2025 AAR	8
Total	**25**